

With pain in your heart...

It is rare that someone would not know Mr Saros, the car mechanic professional living in the small town of Borvar, in Southern Hungary. This fame is because, in the fast-developing city, there are just two oversized garages next to several tiny businesses of questionable service quality and legal background; he owns one of those garages. Both sites offer a wide range of services from car electronics to mechanical repairs and two-year official technical supervision needed for licencing. Mr Saros now has to retire due to a health issue. He is forced to pass on the business he created “without a single cent of debt with his own hands”. The building stands on a corner lot far more immense than needed at a location of very intensive traffic.

Among the family members, only **Janos** (John), the 20-year-old grandson of Mr Saros with basic training in car mechanics, is interested in owning the business. However, as he is just one of the seven grandchildren of Mr Saros, the “Maestro” would give him the company only if Janos compensated the other six grandchildren adequately. Janos, who possesses no mentionable capital, agrees by saying: “Do not worry, Grandpa. We show how much the building, the machines, and the tools are worth now. Then, as the business prospers, I will pay the proportional amount to all the others during the next 5-6 years.”

Tamas (Thomas), who was the second-in-command next to Mr Saros during the last decade, is also interested. As the “Maestro” had to visit doctors more and more often, he took over the operative management nearly completely. Still, it was always Mr Saros to say the last word regarding strategic decisions. Tamas believes that he can get a loan for the purchase if needed with the help of his uncle supervising the local bank affiliate.

Once the local newspaper published that the “highly respected and well-known” Mr Saros was about to retire, a **tire repair network** with a country-wide chain asked for a meeting with the family. They plan to set up a tire repair and storage facility at the site.

Two top managers of **WellBuilt Co.** recently showed up in the city. They negotiated with several landowners, among them Mr Saros. Rumours say that the firm aims to build a shopping mall like in other nearby cities.

The municipality is troubled about the future of the Saros Garage as many students of the local secondary school of mechanics regularly go for an internship at the garage. The mayor stated to a journalist that the municipality would even “be ready for sacrifices” to upkeep the current level of education, though their “possibilities are minimal”.

1. Which possible buyers do you believe would offer the highest sum for the firm?
2. How would you choose among the offers if you were Mr Saros?
3. What other parties could be interested in buying the business?
4. How would your answers change if you learned that the real estate was only rented to the firm by Mr Saros and legally consisted of two separate real estates?
5. How would the situation be different if the real estate were rented from the municipality and not from the owner?
6. How would the choice differ if a bank were the shop’s owner due to a liquidation process?